The horn bottom is at A, encompassing three price bars. Here are my notes for the buy: “30 March 2001. I bought using a limit order at 30 [not split adjusted]. Horn bottom is signaling an upswing. March is seasonally strong for the stock in last 5 years. I hope the market will turn around and send retailers higher. Also, horizontal trend of last 2 months [F] matches November–December 2000 trend [G]. MMU [measured move up] from October 2000 to February 2001 [H to I] means recent retrace is not an MMD [measured move down], but a retrace to MMU corrective phase [G]. I hope and expect stock to climb to 40 shortly.”

After price returns to the corrective phase (G) of a measured move up, there's a good chance price will resume the rise. Price retraced into the corrective phase at C before rebounding.

I bought at B and that was before confirmation of the horn. I got lucky and held on as price dropped to C before beginning its up move. It could as easily continued lower, especially because this was a bear market.

- Lesson: Wait for confirmation.

Price made a nice straight-line move higher, confirming the horn at D, and then turned sideways going into E. Here's what I wrote for the sale: “22 June 2001. I sold this morning. Stock shows signs of topping out. Weak volume on the top, matching prior top during January. Although the FED [Federal Reserve] is expected to cut interest rates next week, I think the cut will send the market lower. It might be for .25% instead of .5%, but market seems buoyant for some reason. I don't trust the feeling, believing the averages will go down more. The NASDAQ I think will retest the low. It has farther to fall.”